SUSTAINOMICS

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The Green Capital Shift

How patient money is rewriting the rules of sustainable finance

COVER STORY

Sovereign Wealth Funds Pour Billions Into Grid Infrastructure

After a decade of volatile bets, the world's largest pools of patient capital are discovering the long-term appeal of wires, substations, and storage.

BY THE SUSTAINOMICS DESK • JUNE 2026

When Norway's Government Pension Fund Global quietly doubled its allocation to unlisted infrastructure assets last autumn, few outside Oslo took notice. But the move — worth roughly $60 billion at current valuations — signalled something larger: the world's largest sovereign wealth fund had decided that the energy transition's most unsexy assets were also its most attractive.

Transmission lines, substations, grid-scale battery arrays, offshore cable links — the physical plumbing of a decarbonising economy — have emerged as the preferred landing zone for patient capital seeking stable, inflation-linked returns over twenty-year horizons.

Why Now?

Three forces have converged to make grid infrastructure suddenly compelling. First, the electrification boom has exposed a staggering undersupply of transmission capacity. The International Energy Agency estimates that by 2030 the world needs to add or refurbish some 80 million kilometres of power lines — equivalent to rebuilding the entire existing network. Second, the revenue streams attached to regulated grid assets are almost uniquely predictable. Utilities earn a government-set return on capital; the number does not move with commodity prices. Third, inflation, once the enemy of long-duration assets, has become a friend: most grid concessions carry explicit CPI escalation clauses.

"The boring asset turned out to be the one everyone needed." — Infrastructure Partner, Copenhagen

The resulting stampede has pushed valuations. Enterprise value multiples for prime European transmission assets now top 25× regulated asset base, compared with 14× a decade ago. North American equivalents have followed, driven partly by Inflation Reduction Act subsidies that effectively de-risk the first decade of a project's life.

Challenges Ahead

Not everyone is sanguine. Permitting timelines in Europe can stretch to a decade; even wellfinanced projects stall in planning courts. Labour shortages for high-voltage electrical workers have pushed installation costs 30 to 40 per cent above 2022 levels in several markets. And regulatory compacts, while stable in normal times, have occasionally been re-opened by governments facing political pressure to keep consumer bills down.

Still, the direction of capital is clear. The grid is the bet of the decade — and the world's largest investors are making it.

CARBON MARKETS

The Carbon Price Is Finally Doing Its Job

After years of volatility and political interference, the EU emissions trading scheme has entered a new phase of credibility — and the rest of the world is watching.

BY CLARA WENZEL, FRANKFURT • JUNE 2026

The EU Emissions Trading System turned twenty this year. For most of its existence, the scheme was a cautionary tale: over-allocated allowances, political carve-outs, and a price that spent several years below €10 per tonne — far too low to change corporate behaviour.

That story has changed dramatically. The EU carbon price broke €100 for the first time in 2024 and has since consolidated in the €80–€110 band. The structural reforms of 2023 — tighter caps, faster phase-down schedules, and the launch of the Carbon Border Adjustment Mechanism — have transformed the market's credibility.

EU ETS KEY METRICS — Q1 2026

EUA Spot Price	**€97.40 / tonne**
Total Allowances in Circulation	**842 Mt CO_2e**
Verified Emissions (2025)	**1,241 Mt CO_2e**
Year-on-year emissions change	**−8.3%**
Auction Revenue (2025)	**€47.2 billion**

Steel and Cement in the Crosshairs

At €97, the carbon price is beginning to bite in heavy industry. European steel producers report that the cost of an average allowance now adds roughly €60 per tonne to steelmaking costs — a meaningful fraction of the market price. Several producers have announced early investments in hydrogen-direct-reduced-iron routes, citing carbon cost trajectories as the primary driver.

The pattern is less clear in aviation, where cheap allowances were ring-fenced for years. Airlines within the European Economic Area returned to the full market in 2024, but the sector's growth has partly offset efficiency gains.

Global Ripples

The Carbon Border Adjustment Mechanism is exporting the signal. Steelmakers in Turkey, India, and Ukraine are now factoring EU carbon costs into their pricing for European sales. Several have installed monitoring systems compatible with EU MRV requirements, positioning themselves for the transition period that ends in 2026.

Whether other major economies follow with linked or comparable schemes remains the central question. The UK ETS trades at a persistent discount to EU levels; Canada's Output-Based Pricing System covers a narrower slice of emissions. The EU model has proved that a high, credible carbon price is achievable — the political will to replicate it elsewhere is another matter.

THE NUMBERS

Q2 2026: Clean Energy by the Numbers

A quarterly snapshot of the metrics that matter most to the energy transition — from investment flows to technology deployment.

GLOBAL CLEAN ENERGY INVESTMENT — Q1 2026 (USD BN)	
Solar PV (utility-scale)	**$184 bn**
Onshore Wind	**$97 bn**
Offshore Wind	**$62 bn**
Grid & Storage	**$141 bn**
Green Hydrogen	**$28 bn**
Electric Vehicles & Charging	**$113 bn**
TOTAL	**$625 bn**

Global clean energy investment reached a record $625 billion in Q1 2026, according to BloombergNEF data compiled by Sustainomics. The figure represents an 18 per cent increase over the same quarter last year and a sharp acceleration from the $400 billion average quarterly pace of 2023.

Solar PV continues to dominate, driven by collapsing module costs and aggressive deployment in China, the United States, and India. Chinese manufacturers now supply roughly 85 per cent of global panels; the resulting price war has made utility-scale solar the cheapest source of new electricity generation in most markets worldwide.

TECHNOLOGY COST MILESTONES	
Lithium-ion battery (pack)	**$68 / kWh**
Utility solar LCOE (global avg)	**$28 / MWh**
Onshore wind LCOE	**$35 / MWh**
Green hydrogen (best projects)	**$3.20 / kg**

Grid and storage investment, at $141 billion, is growing fastest proportionally — up 34 per cent year-on-year. This reflects both the transmission bottleneck identified in our cover story and the surge in behind-the-meter battery deployments by commercial and industrial customers seeking resilience.

Green hydrogen remains the sector to watch. Announced project capacity now exceeds 1,000 GW globally, but FID-sanctioned capacity sits at just 28 GW — a reminder that announcements and reality still diverge sharply. Cost reductions are tracking slightly ahead of the IEA's 2023 projections, but electrolyser supply chain constraints threaten to slow the ramp.

ESG & OUTLOOK

ESG Investing Enters Its Pragmatic Era

> *After the backlash of 2023–24, sustainable finance is maturing. The era of vague pledges is giving way to hard numbers, binding commitments, and legal liability.*

BY THE SUSTAINOMICS DESK • JUNE 2026

Two years ago, ESG looked like a movement in retreat. Republican-led US states were pulling pension funds from "woke" asset managers; European regulators were cracking down on greenwashing; fund flows were stalling. Today, something more durable is emerging from the wreckage: a leaner, harder-edged version of sustainable finance that trades aspiration for accountability.

The shift is visible in product design. A wave of Article 9 fund relaunches in Europe — downgraded after the first wave of SFDR implementation — is now being followed by a second round of upgrades, this time backed by more granular disclosure. Managers who made the journey twice have learned that regulators will not accept marketing language as evidence.

The Legal Turn

Nowhere is the maturation clearer than in litigation. Dutch activist group Milieudefensie's victory against Shell in 2023 — upheld on appeal in 2025 — established that a company's published climate targets can create enforceable legal obligations. In Australia, class actions have been filed against four major banks over alleged misrepresentation of transition risk. The compliance function has moved from the back office to the board.

> *"We used to file the ESG report after the annual report. Now the board reviews the climate targets before the strategy." — CFO, FTSE 100 Industrials*

The practical consequence for investors is straightforward: the days of buying an ESG label for its own sake are over. What matters now is whether a company can demonstrate, with auditable evidence, that its operations and capital allocation are consistent with its stated trajectory. The tools to do this — Scope 3 measurement, transition plan assessment, physical risk modelling — exist. Using them rigorously is no longer optional for the largest asset owners.

Q3 2026 Outlook

As we head into the second half of the year, three themes dominate the Sustainomics editorial agenda. First, the revision of the EU Taxonomy's Delegated Acts — widely expected in September — will clarify how gas and nuclear assets are treated in the coming decade. Second, the G20 roadmap for scaling voluntary carbon markets, due in November, will set the agenda for COP31. Third, watch the US: a change of administration has slowed but not reversed the IRA's clean energy incentives, and the 2026 mid-terms may determine whether the legislative floor holds. The energy transition is a long-cycle story. Patience is still the right posture — but the need for rigour has never been higher.